farmers which are not related to current levels of production or prices. This is a ***very wide box*** and includes all government subsidies like—public storage for food security, pest and disease control, research and extension, and some direct payments to farmers that do not stimulate production like restructuring of agriculture, environmental protection, regional development, crop and income insurance, etc.

The green box subsidies are allowed without limits provided they comply with the policy-specific criteria.[79] It means, this box is exempt from the calculation under subsidies under the WTO provisions because the subsidies under it are not meant to promote production thus do not distort trade. That is why this box is called *'production-neutral box'*. But the facts tell a different story[80].

In the current negotiations, some countries argue that some of the subsidies forwarded under this box (by the developed economies) do serious distortion to trade (opposed to the view of minimal distortion as used by the Annexure 2) it is the view of the developing countries. These countries have raised their fingers on the direct payments[81] given by the developed countries to their farmers via programmes like income insurance and income-safety schemes,[82] environmental protection,[83] etc. Some other countries take the opposite view and argue that the current criteria are adequate, and advocate to make it more flexible (so that it could be increased) to take better care of non-trade concerns such as environmental protection and animal welfare.

S&D Box

Other than the above-discussed highly controversial boxes of agricultural subsidies, the WTO provisions have defined yet another box i.e., the S & D Box. The Social and Development Box (S & D Box) allows the developing countries for some subsidies to the agriculture sector under certain conditions. These conditions revolve around ***human development issues*** such as poverty, minimum social welfare, health support etc., specially for the segment of population living below the poverty line. Developing countries can forward such subsidies to the extent of less than 5 per cent of their total agricultural output.[84]